Product and Brand Management

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Course Objectives

- To develop an understanding of the Brands and products concepts
- To enable you to analyze and develop Product & Branding strategies in different marketing environment
- To explore recent trends in Brand Management

Course Content

- Product Concept
- Product Life Cycle
- Strategic New Product Development
- Introduction to Brands, Developing New Ideas to Products and Brands
- Elements of Brand Management
- Brand Identity
- Brand Image: Customer’s Perception of Brand Identity

Course Content

- Brand Personality: Carrier of Brand Identity
- Brand Communication
- Brand Positioning
- Brand Equity
- Brand Extension
- Ethical Brand Positioning: A New tool for Distinctive Positioning, Global Brands in Cross-Cultural Environment
- Case studies of Nokia, Nike, Toyota, Sony, Amul, Nirma etc.

Reference Material

- Jean-Noel Kapferer, The new strategic brand management : advanced insights and strategic thinking, KoganPage, 5th edition, 2012
- Kevin Lane Keller, Strategic Brand Management: Building, Measuring, and Managing Brand Equity, Prentice Hall, 4th edition, 2012
- Paul Trott, Innovation Management and New Product Development, Pearson, 6th edition, 2017
- MahimSagar, Deepali Singh and D.P. Agrawal, Brand Management, Ane Books Pvt. Ltd, 2009

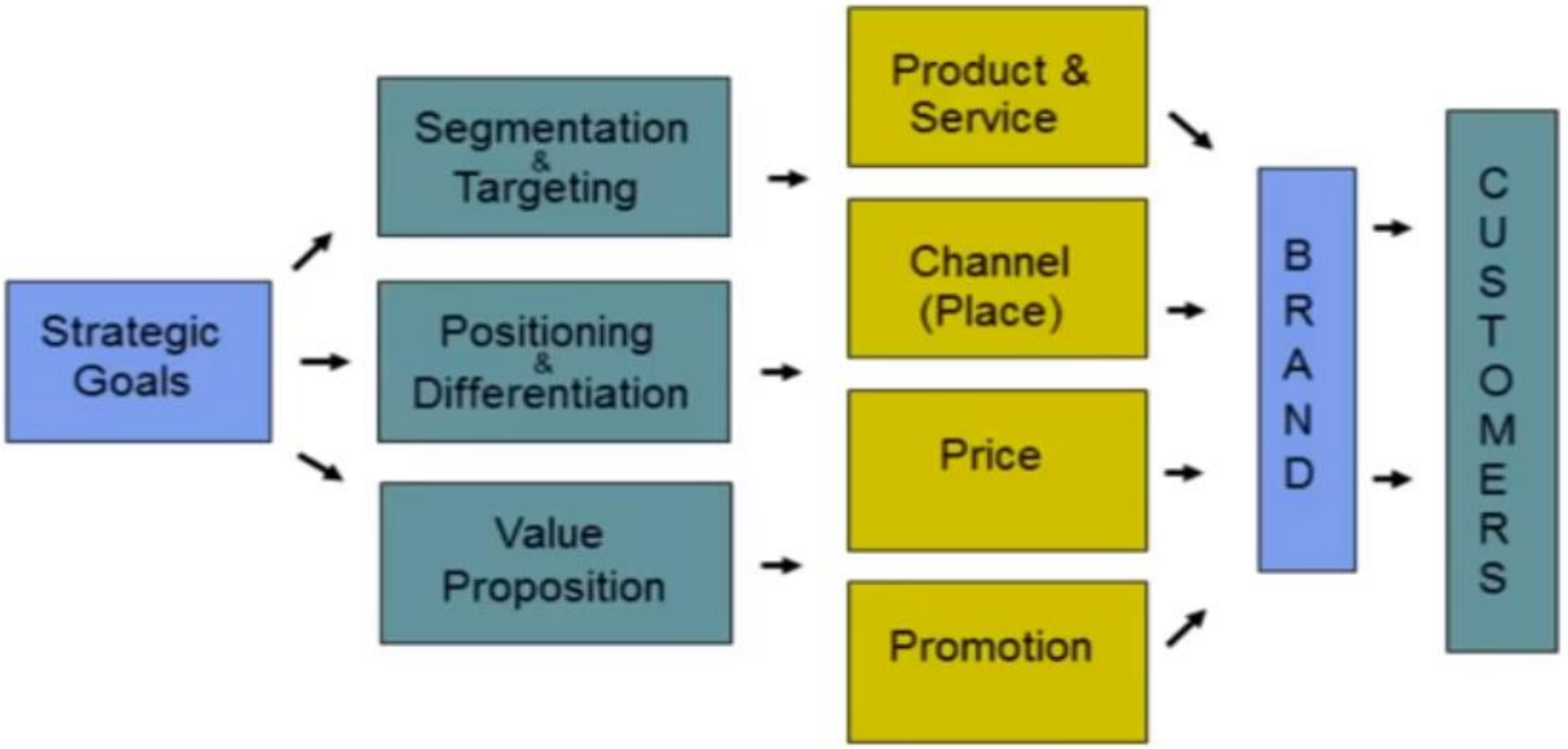
Evaluation Components

- Minor-1: 15% (Written exam)
- Minor-2: 20% (Written exam)
- Case studies: 15%
- Field based Project: 20%
- Major: 30%

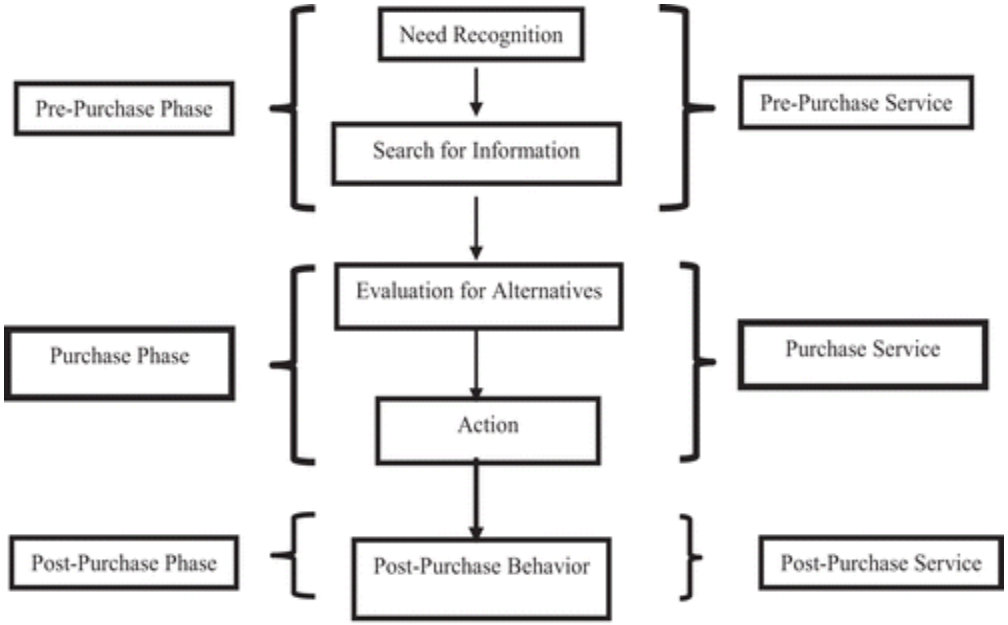
Marketing

- What is Marketing

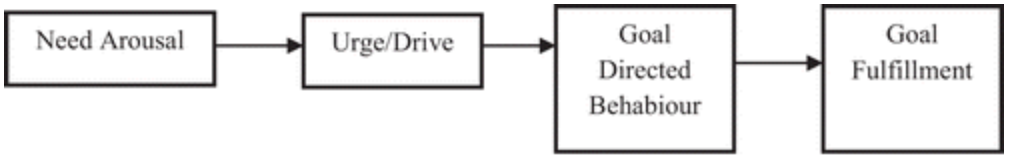
Marketing: A Broad Perspective



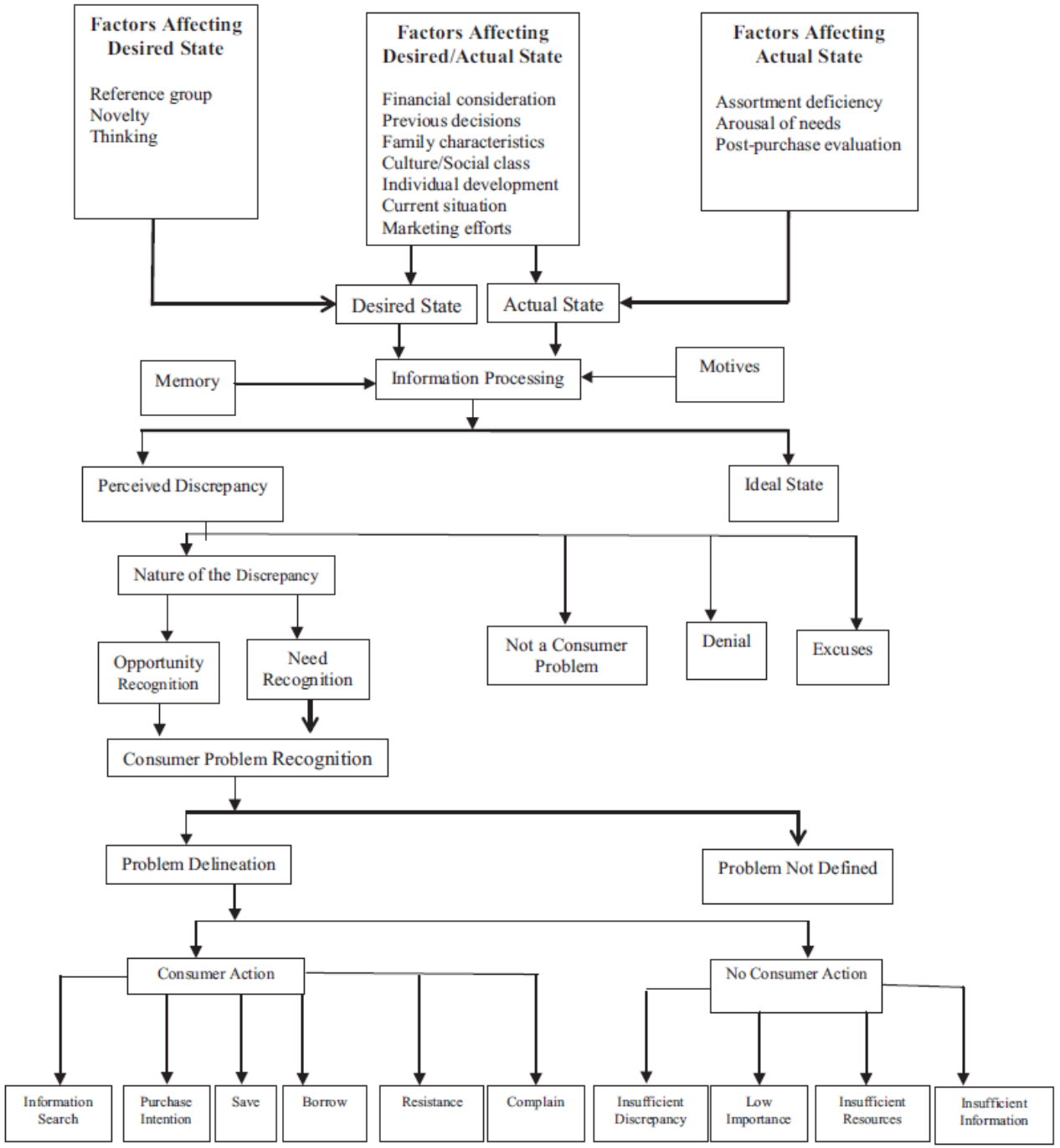
Organization
Feedback/Market Research
Revenue/Profit
Competition



Source: Author



Source: Author


Factors Affecting Desired State
Reference group
Novelty
Thinking
Factors Affecting Desired/Actual State
Financial consideration
Previous decisions
Family characteristics
Culture/Social class
Individual development
Current situation
Marketing efforts
Factors Affecting Actual State
Assortment deficiency
Arousal of needs
Post-purchase evaluation
Desired State
Actual State
Memory
Information Processing
Motives
Perceived Discrepancy
Ideal State
Nature of the Discrepancy
Opportunity Recognition
Need Recognition
Not a Consumer Problem
Denial
Excuses
Consumer Problem Recognition
Problem Delineation
Problem Not Defined
Consumer Action
No Consumer Action
Information Search
Purchase Intention
Save
Borrow
Resistance
Complain
Insufficient Discrepancy
Low Importance
Insufficient Resources
Insufficient Information

Buying stage	*Case facts*	*Marketing strategy across each stage*
Pre-purchase stage		
Need recognition	Reasons prompting purchase – significant difference between actual and desired state Existing desktop turns off/crashes Important deadline for presentation (career at stake)	Marketer can trigger the need using external stimuli Visual merchandising Communication focusing on reason to updating with new product/model/attributes Mechanism to indicator the life of the product/brand (blue color on toothbrush indicating its life) Providing sales offer like exchange offers

Search for information	Source of information Consumer-generated message – relatives, colleague and friends Natasha's cousin Satyam, friend Bharat, her colleague Richa, her brother-in-law Atul Company-generated message – salesman, catalogues and websites Type of information – brand, price, features like RAM, size of screen, etc.	Marketer can emphasize- Consumer-generated message such as online reviews and feedback, testimonials Market-generated message – comparative information on website on product/brand advantages and benefits, use of simple words not technical jargons in the message Marketer should know the source of information that plays the most significant role and accordingly design the communication message and plan the media mix The information provided should be correct, simple and precise Consumer should be allowed to choose the amount of information they would like to receive. Web technologies are well-suited for such customization, allowing consumers to access as much or as little information Content-management systems and online targeting engines allow marketers to create hundreds of variations on an advertisement, taking into account the past behaviour of potential users. Marketer can explore in-store touch points with great packaging, favourable shelf position, forceful fixtures and informative signage to entice consumer

Evaluation of alternative	Evaluation criteria: Brand Price RAM Screen size Operating system Battery life Weightage to criteria: Below INR30,000 Choice rule: *Non-compensatory*: (no fixed criteria and no flexibility) Less than INR30,000 *Compensatory*: (consumer does a trade-off, flexibility) Brand Operating system Product specification: 3G processor, 2/3 GHz RAM, 500 GB hard disc Sleek design	Sales representative should avoid confusing the customer by showing various brands, models and features Salesperson should be trained for proper probing to understand the purpose for which the product/brand is purchased and to understand consumer choice criteria. Sales pitching should be less on product features and more on benefits and advantage Simple dynamic tool can be used that helps consumer to evaluate product, for example Ford car configuration

Buying stage	*Case facts*	*Marketing strategy across each stage*
Purchase stage		
Purchase decision	When to buy – on an auspicious day Where to buy from – local retail store How to make payment – cash payment	Marketer should clearly state the benefit of buying from various channels, such as service facility from exclusive showroom, wider choice from retail outlet, price benefit from online website Customer interface activities – informational websites, use of IT technology for customer service interface and billing can create good experience

Post-purchase stage		
Post-purchase experience	Laptop, did not detect the card Representative was reluctant in providing prompt service Natasha could not know the exact problem and the time to fix the problem	Believe in customer-centric approach. Educating customer on product use and maintenance Toll-free call centre service number for prompt and quick service for customer assurance Remote-sensing mechanism to handle product defects (certain specific problem can be detected and solved from distance), videos, online chat forum to address consumer concern Substantial investment in after-sales service to enhance customer engagement. Service encounters management system – for addressing repair or defect. Mechanism for monitoring the actual time against the promised time. Linking incentive to salesman's performance on customer service Feedback on customer service quality and time to address the customer encounter Involving consumers to capture their suggestion regarding handling customer encounter

Questions

How you define yourself as a consumer

Why do consumer behavior matter

How you will deal with the consumers

- ✓ **Nike marketing strategy**
- ✓ **Apple marketing strategy**

Habits you should not ignore

- ✓ ***Advertising and behavior***
- ✓ Driving a car
- ✓ Equivalent to waking life
- ✓ Conscious mind and unconscious mind (going for a lecture or a meeting)
- ✓ Hunt for food
- ✓ Executive (past and future) and habitual mind (past and present)
- ✓ New product failures (80% in general and varies)
- ✓ Thousands launch and a handful contribute
- ✓ What is the most easiest job for marketers
- ✓ Lets throw a bunch of stuff on the wall and see what sticks

Habits you should not ignore

- ✓ Loss of customers
- ✓ 20% per year and 50% every 5 years
- ✓ Expensive customer satisfaction and loyalty programs
- ✓ No differentiation
- ✓ *Look at customer satisfaction: It tells Nothing*
- ✓ **85% of defectors satisfaction level**
- ✓ **8% repurchase**
- ✓ *Look at the addiction part of customers*
- ✓ *Getting in the market first or best or cheapest product is the success mantra?*
- ✓ *Microsoft as using calculator and type writer*
- ✓ *Windows 95 and than windows 98*

Habits you should not ignore

- ✓Keep the executive mind free
- ✓Processing is low one thing at a time
- ✓95% of behavior control by habitual mind
- ✓e.g. Applications and operating system

What should we do

- ✓ Brain's inner working with marketing (success/failure)
- ✓ 1960's psychological theories
- ✓ MRI
- ✓ 45% of the time
- ✓ Same day same activities while thinking something else
- ✓ Most of the consumer behavior is of habitual mind
- ✓ How to judiciously use your promotional budget???

- ✓ Are you satisfied with the meal???? (can alter future consumer behavior)
- ✓ Why you shop at a particular store???? (Future campaign management)

What should we do

- ✓ Limitation of executive mind
- ✓ Previous situations handled satisfactorily write a script
- ✓ Case of novel situation
- ✓ Driving across a familiar vs. unfamiliar territory
- ✓ Retail store shopping
- ✓ Coca-Cola Logo (Frank Robinson)
- ✓ Sell the executive mind and win habitual one
  - ✓ Must focus on behavior not on attitudes and beliefs
  - ✓ Learning of executive and habitual mind
  - ✓ Don’t let the executive mind work for existing customers
  - ✓ Break the existing habits of potential customers

Defining Consumer Behavior

- **Indian scenario**
  - Land of diversity
  - Major role of marketers
  - International and national consumption habits differences
  - Case of Kellogg's
  - Unorganized retail sector
  - **Price sensitive to brand symbolism customers**
    - Functional and symbolic value
    - Use of females in advertisements/Targeting Kids

Types of Products

- **Consumer goods**
  - Convenience; Shopping and Speciality goods

Types of consumers

- Personal consumer
- Organizational consumer

Evolvement of Marketing Concept

- Production Orientation
- Sales Orientation
- Marketing Orientation
- **Marketing concept**
- Societal Marketing Concept

The Holistic Marketing Concept

- **Relationship marketing**
  - Customers
  - Employees
  - Channel partners
  - Members of financial community
    - Royal Bank of Canada

- **Integrated Marketing**
  - Channels, communications, products and services
  - 4 P’s as solution, value, information and access

The Holistic Marketing Concept

Internal marketing

- Interdepartmental coordination
- Marketing department, senior management, other departments

Performance marketing

- Sales revenue, brand and customer equity, ethics, environment, legal, community
- Financial accountability
- Social responsibility marketing

  E.g. Ben and Jerry's

The Marketing Mix

- Marketplaces, Market Spaces, Meta Markets
- **Marketing Mix**
  - 4 P's was given by ???????
  - Applicability in Indian Scenario

- **Importance of Marketing Mix**
  - Combination
  - Timing
  - Case of Rajdoot, HMT and Zodiac
  - Realities of market (Home Theatres, Premium products)
  - Prioritize and synchronize marketing mix elements
    - Samsung (Promotional and Distribution aspects), Titan (Product aspects, Tata retailing experience)

- Case: Bangladesh Grameen Bank

How to deal with minds

- ✓ BMW flagship car 745i
- ✓ Performance artist praised by everyone
- ✓ Inserting entirely new user interface between the driver and driving i.e. Idrive
- ✓ More than 700 control functions
- ✓ Creates a lesson in frustration
- ✓ Lesson (TAM)
- ✓ Intelligently designed for lab not for road
- ✓ Example clearly illustrates the failure of a big company

Traditional Vs. Value and Retention Focused Marketing

Make what you can sell	Use technology for customization
Research consumer needs and characteristics	Research the levels of profit associated with various customer needs and characteristics
Don’t focus on product focus on need	Focus on product’s perceived value as well as the need it satisfies
Each customer transaction is a discrete sale	Make each customer transaction part of an ongoing relationship with the customers

Impact of New Technologies on Marketing Strategies

- **Modi Campaign**
- Consumer have more power than even before
  - Intelligent agents
  - Bid
  - 24*7
  - Global market
  - Convenience
  - TiVo digital recorder
  - More focus on online and m-advertising
- More access to information than even before
- Marketers can and must offer more products and services than even before (Amazon)

Impact of New Technologies on Marketing Strategies (contd.)

- **Increase instantaneous exchanges between marketers and customers**
  - Ad effectiveness (Google analytics)

- **Marketers can gather more information about customers more quickly and easily**
  - Narrowcasting through registration

- **Impact reaches beyond the PC-Bases connection of the web**
  - Mobile phones (GPS), Smart TV cable boxes (2-way communication), merging PC and TV, supermarket scanners, caller identification

Insight-1: *Give the Product/Service Away*

- When a product is revolutionary, few people want to be the first to try it, so asking them for money up front often simply creates a barrier.

- Spare parts for cars are an example—the cars are sold relatively cheaply, but genuine spares are expensive, because that is how the manufacturer makes money.

The idea

- When King C. Gillette invented the safety razor he was working as a salesperson for a bottle-cap manufacturer.

- He conceived the idea for a disposable razor when his cut-throat razor got too old to be re-sharpened: he fairly easily developed a way of making the blades and the razors to hold them (the first blades were made from clock springs) but economies of scale meant that the blades could only be profitable if he could manufacture them in their millions.

- He needed a quick way of getting men to switch over from cut-throat to disposable razors, so he decided to give the product away

The idea

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- Gillette gave away thousands of razors, complete with blades, knowing that few men would go back to using a cut-throat razor once they had experienced the safety razor. Within a few days they would need to buy new blades, so Gillette had created an instant market, limited only by his capacity to give away more razors.

- In time, once the product was established in the market and the first users (the innovators) had started telling their friends about the product, Gillette was able to start charging for the razors themselves. However, the razors were always sold at close to, or even below, the manufacturing cost—the company makes its money on selling the blades, which cost almost nothing to produce and which can be sold for a premium price.

Takeaways

- Identify products that carry a long-term commitment to buying peripherals, spares, or other consumables.

- Decide your target market—there is no point giving out freebies to all and sundry if they aren't going to follow through and buy your product later.

- Make sure you have good intellectual property rights (patents, etc.) so that nobody can enter the market with knock-off consumables that work with your giveaway product.

Rules

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80:20:120

20:80:20

SEC

	Items owned / have access at home	Circle	Tick
	Electricity Connection	01	√
	Ceiling Fan	02	√
	LPG Stove	03	√
	Two Wheeler	04	√
	Colour TV	05	√
1a	Refrigerator	06	√
	Washing Machine	07	
	Personal Computer/ Laptop	08	
	Car/Jeep/Van	09	√
	Air Conditioner	10	
1b	Agricultural Land	11	√
	NUMBER OF STANDARD 11 OWNED		8

SEC

No. of Durables (TRANSFER FROM Q1)	Chief Earner: Education (Q2)						
	Illiterate	Literate but no formal schooling/ School- Upto 4 years	School- 5 to 9 years	SSC/ HSC	Some College (incl a Diploma) but not Grad	Graduate/ Post Graduate: General	Graduate/ Post Graduate: Professional
	1	2	3	4	5	6	7
None	E_3	E_2	E_2	E_2	E_2	E_1	D_2
1	E_2	E_1	E_1	E_1	D_2	D_2	D_2
2	E_1	E_1	D_2	D_2	D_1	D_1	D_1
3	D_2	D_2	D_1	D_1	C_2	C_2	C_2
4	D_1	C_2	C_2	C_1	C_1	B_2	B_2
5	C_2	C_1	C_1	B_2	B_1	B_1	B_1
6	C_1	B_2	B_2	B_1	A_3	A_3	A_3
7	C_1	B_1	B_1	A_3	A_3	A_2	A_2
8	B_1	A_3	A_3	A_3	A_2	A_2	A_2
9 +	B_1	A_3	A_3	A_2	A_2	A_1	A_1

Case

- 1980s, Apple bundled its software and hardware together and ignored customers who wanted to buy them separately. Apple sold its software, which was better than other operating systems, only when installed on its own, expensive computers. In contrast, Microsoft licensed DOS (disk operating system)—the less efficient and harder-to-operate software—to any manufacturer that wanted to install it on its computers. Most consumers bought the less expensive, DOS-operated computers, and for many years Apple was an insignificant player in the industry. Apple focused on its product and lost sight of the fact that consumers wanted to buy hardware and software separately.

Case

- When Google first revealed in 2010 that cars it was using to map streets were also sweeping up sensitive personal information from wireless home networks, it called the data collection a mistake. Subsequently, federal regulators charged that Google had “deliberately impeded and delayed” an investigation into the data collection and ordered a $25,000 fine on the search giant.

Case

- At Amazon, buyers can find books instantly, read sample pages and reviews posted by other readers, and begin reading purchased books within minutes after placing their orders (as opposed to going to a physical store, picking up a heavy paper copy, standing in line to pay, and then carrying the book.) Simultaneously, when consumers visit Amazon's website, the company records every aspect of their visits, including the books they looked at, the sample pages and reviews they clicked on, and the time spent on each activity. This enables Amazon to build long-term relationships with customers by developing customized book recommendations that shoppers view upon returning to Amazon's website. Amazon also participates in "information exchange networks" that enable marketers to place ads that "follow" consumers into other websites featuring products that consumers have examined or purchased previously.

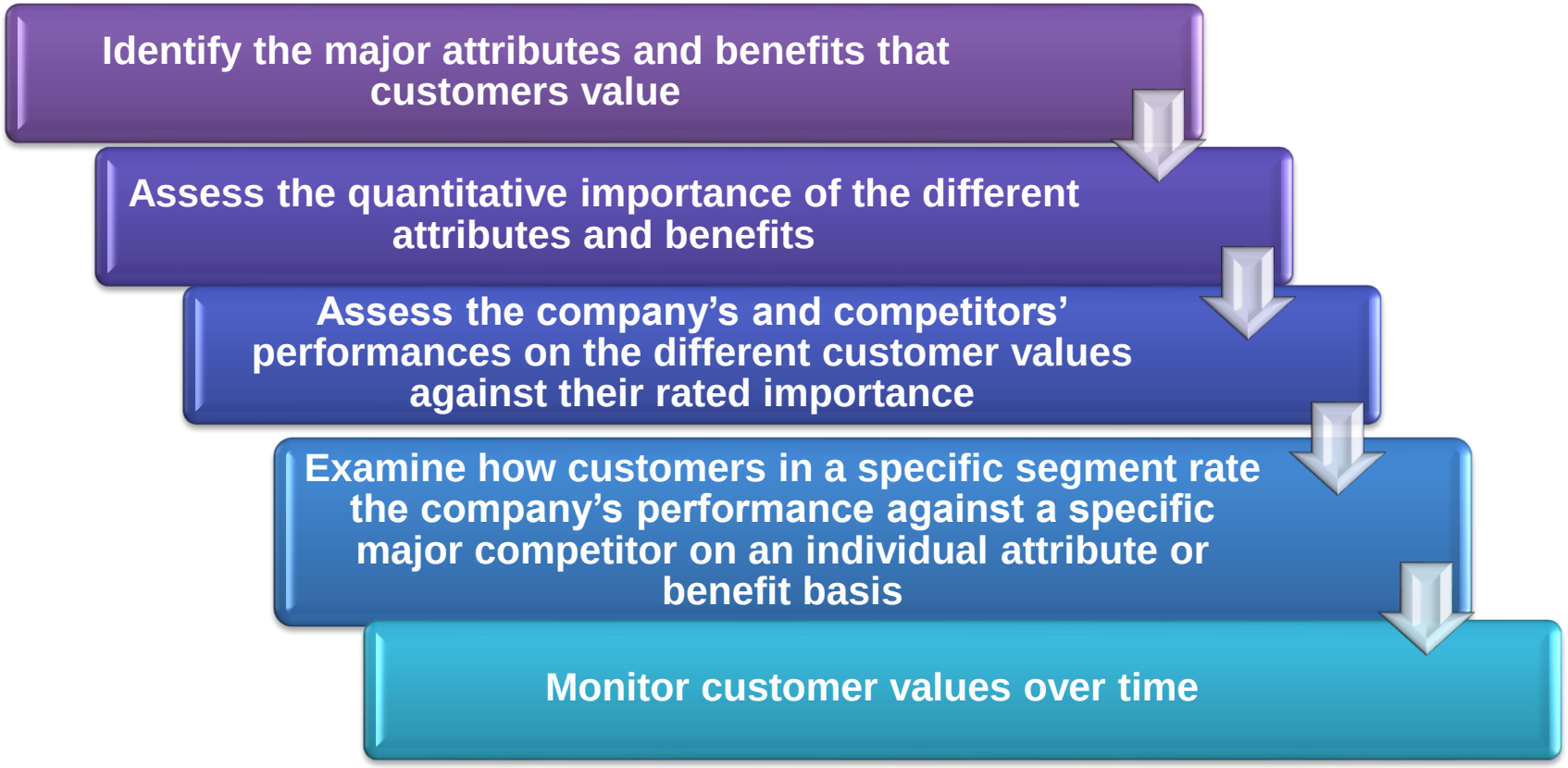
Comparison

	NOVO	DELONEX	TOME
Size	3.9" × 4.8	3.5" × 4.9	4.0" × 4.1
Weight	7.8 ounces	7.5 ounces	8.6 ounces
Touch Screen	Some models	No	All models
Screen Pixels	600 × 800	758 × 1024	1200 × 1600
Memory	8 GB	16 GB	16 to 64 GB
Battery Life	Up to 8 hours	Up to 11 hours	Up to 12.5 hours
Bookstore	Amazon	Amazon	Amazon and Sony
3G Phone	Available with selected providers	Available with selected providers	Available with all U.S. providers
Overseas Capacity	Yes (roaming charges apply)	No	No
Content Storage	Free *Cloud*Novo storage for Novo content	Free DeLonex*Sky* for DeLonex content	Free storage for content and address book, calendar, and bookmarks
Price	$ 199	$ 279	$ 359

Mobile

- **Cross-screen marketing consists of tracking and targeting users across their computers, mobile** phones, and tablets. New software enables marketers to try to figure out when a mobile user is the same person as a desktop user. The new technology enables advertisers to “push” ads to mobile phones based on the interests people expressed while surfing the Internet.

Insights


Identify the major attributes and benefits that customers value
Assess the quantitative importance of the different attributes and benefits
Assess the company's and competitors' performances on the different customer values against their rated importance
Examine how customers in a specific segment rate the company's performance against a specific major competitor on an individual attribute or benefit basis
Monitor customer values over time

Customer Complaints

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1. **Set up a 7-day, 24-hour toll-free hotline (by phone, fax, or e-mail) to receive and act on** customer complaints.
2. **Contact the complaining customer as quickly as possible. The slower the company is to** respond, the more dissatisfaction may grow and lead to negative word of mouth.
3. **Accept responsibility for the customer's disappointment; don't blame the customer.**
4. **Use customer service people who are empathic.**
5. **Resolve the complaint swiftly and to the customer's satisfaction. Some complaining customers** are not looking for compensation so much as a sign that the company cares.

Domino's

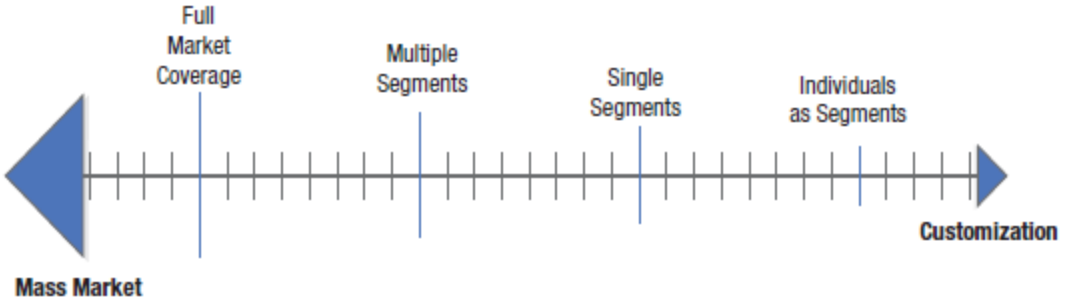
- Domino's has introduced a new "build-your-own-pizza" feature on its Web site that allows customers to watch a simulated photographic version of their pizza as they select a size, choose a sauce, and add toppings.
- The Web site also shows exactly what the completed pizza would cost in the process. It lets customers track orders from when the pizza enters the oven to when it leaves the store.
- Domino's also introduced a new point-of-sale system that streamlined the logistics of online and phone orders. This system improved accuracy, increased repeat visits, and boosted revenues and processes

Segmentation

Criteria:

- Measurable
- Substantial
- Accessible
- Differentiable
- Actionable

Customerization



Segmentation

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Geographic region	Pacific Mountain, West North Central, West South Central, East North Central, East South Central, South Atlantic, Middle Atlantic, New England
City or metro size	Under 5,000; 5,000–20,000; 20,000–50,000; 50,000–100,000; 100,000–250,000; 250,000–500,000; 500,000–1,000,000; 1,000,000–4,000,000; 4,000,000+
Density	Urban, suburban, rural
Climate	Northern, southern

Segmentation

Demographic age	Under 6, 6–11, 12–17, 18–34, 35–49, 50–64, 64+
Family size	1–2, 3–4, 5+
Family life cycle	Young, single; young, married, no children; young, married, youngest child under 6; young; married, youngest child 6 or older; older, married, with children; older, married, no children under 18; older, single; other
Gender	Male, female
Income	Under $10,000; $10,000–$15,000; $15,000–$20,000; $20,000–$30,000; $30,000–$50,000; $50,000–$100,000; $100,000+
Occupation	Professional and technical; managers, officials, and proprietors; clerical sales; craftspeople; forepersons; operatives; farmers; retired; students; homemakers; unemployed
Education	Grade school or less; some high school; high school graduate; some college; college graduate
Religion	Catholic, Protestant, Jewish, Muslim, Hindu, other
Race	White, Black, Asian, Hispanic
Generation	Silent Generation, Baby boomers, Gen X, Gen Y
Nationality	North American, Latin American, British, French, German, Italian, Chinese, Indian, Japanese
Social class	Lower lowers, upper lowers, working class, middle class, upper middles, lower uppers, upper uppers

Segmentation

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Psychographic lifestyle	Culture-oriented, sports-oriented, outdoor-oriented
Personality	Compulsive, gregarious, authoritarian, ambitious
Behavioral occasions	Regular occasion, special occasion
Benefits	Quality, service, economy, speed
User status	Nonuser, ex-user, potential user, first-time user, regular user
Usage rate	Light user, medium user, heavy user
Loyalty status	None, medium, strong, absolute
Readiness stage	Unaware, aware, informed interested, desirous, intending to buy
Attitude toward product	Enthusiastic, positive, indifferent, negative, hostile

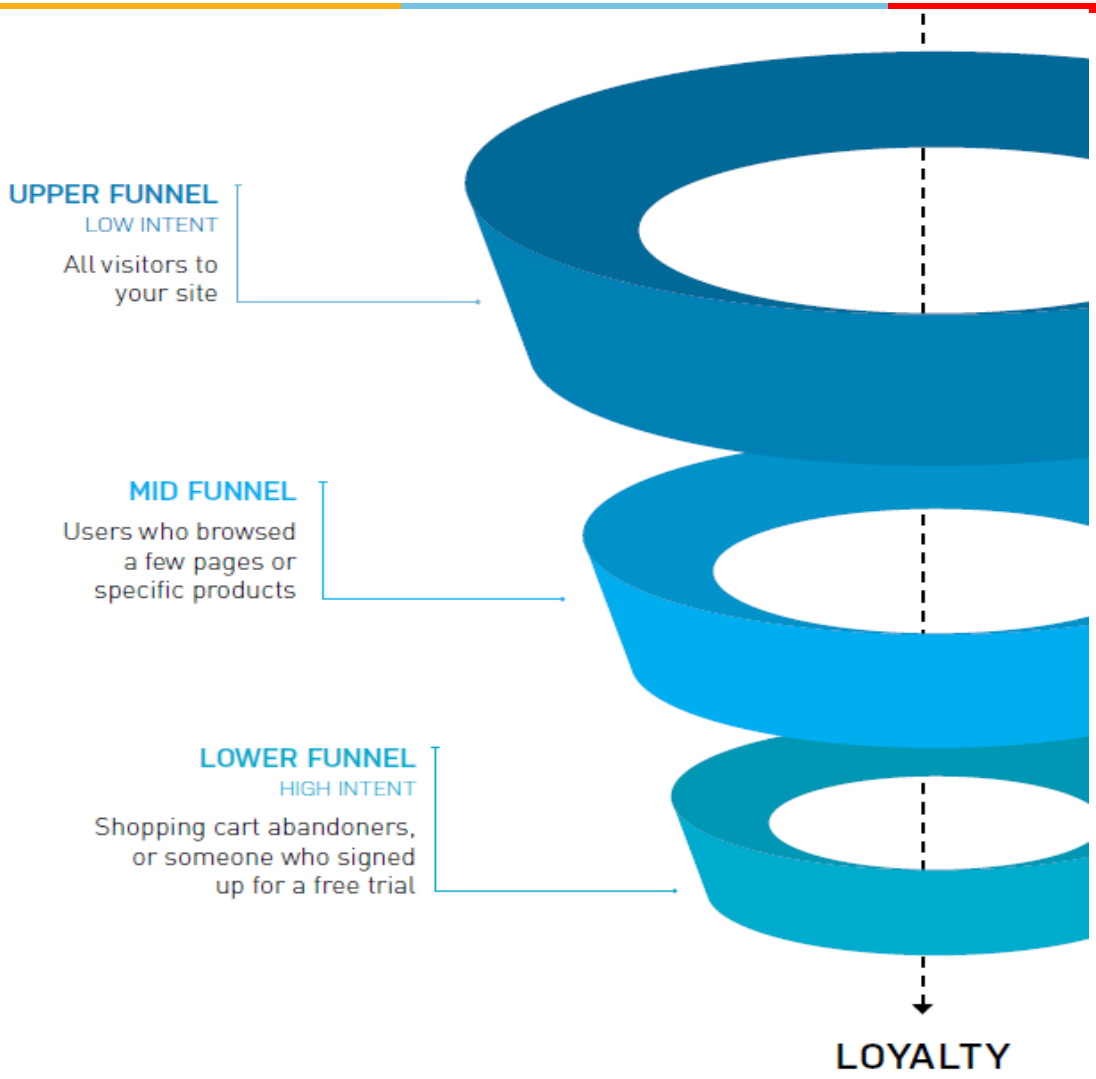
Behavioral Segmentation

- Needs & Benefits
- Decision Roles

Initiator, Influencer, Decider, Buyer, and User

- User & Usage
  - Occasions
  - User Status
  - Usage Rate
  - Buyer-Readiness Stage
  - Loyalty Status: Hard-core loyals, Split loyals, Shifting loyals and Switchers
  - Attitude

Segmentation Strategies



Segment By Level Of Intent

Segment By Products Viewed

Conversion Segments

Personalized Messaging

B2B Segmentation

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Demographic

1. *Industry:* Which industries should we serve?
2. *Company size:* What size companies should we serve?
3. *Location:* What geographical areas should we serve?

Operating Variables

4. *Technology:* What customer technologies should we focus on?
5. *User or nonuser status:* Should we serve heavy users, medium users, light users, or nonusers?
6. *Customer capabilities:* Should we serve customers needing many or few services?

Purchasing Approaches

7. *Purchasing-function organization:* Should we serve companies with a highly centralized or decentralized purchasing organization?
8. *Power structure:* Should we serve companies that are engineering dominated, financially dominated, and so on?
9. *Nature of existing relationship:* Should we serve companies with which we have strong relationships or simply go after the most desirable companies?
10. *General purchasing policies:* Should we serve companies that prefer leasing? Service contract? Systems purchases? Sealed bidding?
11. *Purchasing criteria:* Should we serve companies that are seeking quality? Service? Price?

B2B Segmentation

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Situational Factors

12. *Urgency:* Should we serve companies that need quick and sudden delivery or service?
13. *Specific application:* Should we focus on a certain application of our product rather than all applications?
14. *Size or order:* Should we focus on large or small orders?

Personal Characteristics

15. *Buyer-seller similarity:* Should we serve companies whose people and values are similar to ours?
16. *Attitude toward risk:* Should we serve risk-taking or risk-avoiding customers?
17. *Loyalty:* Should we serve companies that show high loyalty to their suppliers?

Case: Tata Structura Steel

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Segment	Applications and Distribution Channel
Industrial	Racks, Sheds, Structures
	Distributors
Architectural	Commercial construction, malls, offices
	Distributors
Infrastructure	Airports, Bridges, bus and rail terminals, highways
	Lon-term contracts with construction companies
General Engineering	Defence, Furniture, Housing, Parking
	Lon-term contracts with construction companies

